

charged with compound interest.—If a testator *expressly directs an accumulation* to be made, and the executor having the money in his hands disregards the injunction it seems *compound interest* will be decreed (*c*). “Where there is an express trust,” said Lord Eldon, “to make improvement of the money, if he will not honestly endeavour to improve it, there is nothing wrong in considering him, as to the principal, to have lent the money to himself, upon the same terms upon which he could have lent it to others, and as often as he ought to have lent it if it be principal, and as often as he ought to have received it, and lent it to others, if the demand be interest, and interest upon interest” (*d*). [If the accumulation be directed only during the minority of the *cestui que trust* with a direction to hand the fund over to him on his attaining 21, and the trustee after the determination of the minority, in lieu of paying over the trust funds, retains them uninvested or improperly invested, the trustee will be charged with compound interest (*e*).]

18. Executor not charged with interest during first year from testator's death.—An *executor* will not in general be charged with interest but from the *end of a year* from the time of the testator's decease. “It frequently,” said Lord Thurlow, “may be necessary for an executor to keep large sums in his hands, especially in the course of the *first year* after the decease of the testator, in which case such necessity is so fully acknowledged, that, according to the constant course of the Court, the fund until that time is not considered distributable. *After that*, if the Court observes that an executor keeps money in his hands without any apparent reason, but merely for the purpose of using it, then it becomes negligence and a breach of trust, the *conse- [*344] quence of which is that the Court will charge the executor with interest” (*a*).

(*c*) *Raphael v. Boehm*, 11 Ves. 92; 13 Ves. 407, 590; *Dornford v. Dornford*, 12 Ves. 127; *Brown v. Sansome*, 1 M'Clel. & Younge, 427; *Knott v. Cottee*, 16 Beav. 77; *Pride v. Fooks*, 2 Beav. 430; *Wilson v. Peake*, 3 Jur. N. S. 155.

(*d*) *Raphael v. Boehm*, 11 Ves. 107; and see S. C. 13 Ves. 411.

[(*e*) *Re Emmet's Estate*, 17 Ch. D. 142.]

(*a*) *Forbes v. Ross*, 2 Cox, 115; and see the observations of Sir A. Hart, in *Flanagan v. Nolan*, 1 Moll. 85;